

The extra allocation of 12 million ether for the early contributors and Ethereum Foundation has proved problematic for Ethereum over time, as some feel it represented double dipping. In our view, with 15 talented developers involved prior to the public sale, 6 million ether translated to just north of \$100,000 per developer at the presale rate, which is reasonable given the market rate of such software developers.

That said, the allocation of capital into founders' pockets is an important aspect of crowdsales. Called a "founder's reward," the key distinction between understandable and a red flag is that the founders should be focused on building and growing the network, not fattening their pockets at the expense of investors. In our opinion, the Ethereum developers were not fattening their pockets, they were putting food on the table. Their modest allocation is a far cry from the antics that some cryptoasset creators have attempted since.

Following the presale, it was a year of development before the Ethereum network went live. During this time, the Ethereum team stayed in close touch with its burgeoning community, releasing proof-of-concepts for the community to evaluate, organizing conferences, funding projects based on Ethereum, and writing frequent blog updates.²¹ Perhaps taking note from Dogecoin, the Ethereum team understood the importance of the community in bootstrapping support for its decentralized system. Although blockchain architectures are cold code, they are warm social networks.

With the money they raised, the Ethereum team was also able to test the network before launch in a way that Satoshi